

tariffs and this will eventually hurt both, skilled and unskilled workers and their incomes,” Savaliya says.

At the Tiruppur garment hub in Tamil Nadu, almost a third of the ₹40,000 crore turnover comes from exports to the US. Raja Shanmugham, former president of the Tiruppur Exporters Association, said that of the 3,000 export units in the region, 95% were in the MSME category. “There is a 90-day cycle from getting an order to delivery. Due to the tariff issue, one entire cycle has been disrupted now, finished goods are lying in warehouses with buyers cancelling orders.”

On August 6, the US announced an extra 25% tariff on all Indian goods, in addition to the 25% tariff already in place, making it a total of 50% from August 27. This is on top of the usual US import duties, called Most Favoured Nation (MFN) tariffs. This decision makes India one of the most heavily taxed trading partners—worse off than China (30%) or Vietnam (20%)—but on par with Brazil.

Ajay Srivastava, founder of the

Global Trade Research Initiative (GTRI), gives the example of men’s shirts. Currently, the MFN tariff is 12%, but if the total 50% tariff is implemented, then the effective rate will become 62% for Indian shirt exports. “Our men’s shirt exports could be in a free fall if this situation persists,” Srivastava says.

SECTORS SUCH AS GARMENTS AND TEXTILES, JEWELLERY, LEATHER ARE ALREADY STRUGGLING

Another small-scale sector likely to be severely impacted is shrimp exports. India exported \$2 billion worth of shrimps to the US last fiscal, when the only applicable tariff was an anti-dumping duty of 10%. But now this will rise to 60%, making Indian exports utterly uncompetitive vis-a-vis Canada

(which now has zero duties on shrimp exports due to the FTA) and Chile which is still at 10% tariff. The shrimp export industry is expected to take a major hit, unless the tariff rate is negotiated downwards.

Anil Bhardwaj, Secretary General of the Federation of India Micro, Small and Medium Enterprises, says, for the MSME sector, US is the biggest export market, and suggested incentivisation of large Indian trading houses to mitigate the tariff hit. He proposes incentives such as concessions in setting up large warehouses and in income tax rebates for the large trading houses. FISME has also asked for interest subvention of 2-3% for MSMEs to avail of cheaper working capital loans.

“Right now, all pipeline orders are on hold,” said Ashish Gujarati, who supplies home textile fabrics to exporters from Surat. While finding other markets for exports is a long-term solution, Gujarati says the government needs to give an “order wise subsidy or directly subsidise 10-12% of the tariff increase” for easing the short-term pain of the small businesses. Businesses in Gujarat have also asked the state government to bring back the GST reimbursement scheme where the state share of GST is returned to the exporter.

The latest punitive tariffs could additionally have a direct impact on India’s GDP.

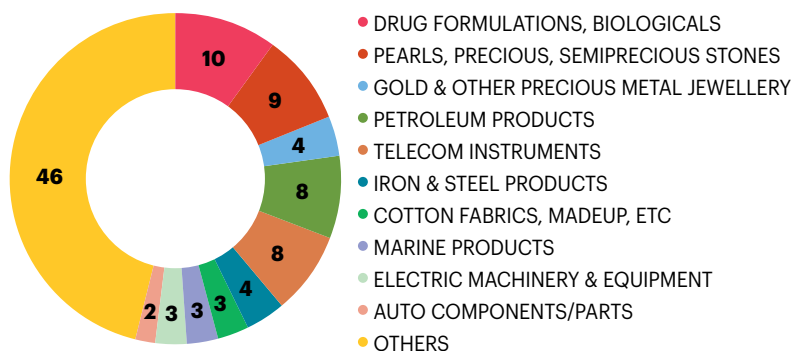
Analysts at CareEdge Ratings have estimated the direct impact to be 0.3-0.4% of GDP, while ICRA has trimmed the GDP forecast by 0.2%. But not all is gloom and doom. Analysts at CareEdge and at ICRA have pointed towards India’s low export dependence compared to some other economies. This should offer some comfort.

For now, small industries are holding out for negotiations with the US, hoping to emerge from the crisis unscathed. **BT**

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TOP 10 EXPORTS TO THE US BY VALUE

• India’s merchandise exports to the US—India’s largest trading partner—were worth \$87 billion in FY25



NOTE SHARE IN EXPORTS IN % SOURCE COMMERCE MINISTRY, ICRA